POLICY RESEARCH REPORT

MSCI FREEZE SHOCK AND INDONESIAN MACRO TRANSMISSION ANALYSIS

VAR-Based Impulse Response and Variance Decomposition Study

Fithra Faisal Hastiadi, PhD
Senior Macro Strategist
Samuel Sekuritas Indonesia
Faculty Member, Fakultas Ekonomi dan Bisnis
Universitas Indonesia

January 28, 2026

EXECUTIVE SUMMARY

On January 28, 2026, Morgan Stanley Capital International (MSCI) announced a temporary freeze on all index rebalancing activities for Indonesian equities, citing persistent concerns over free float data transparency and investability issues. This decision triggering one of the most severe single-day market correction in Indonesian capital market history, with IHSG plunging 7.34% and activating trading halt mechanisms.

This report employs Vector Autoregression (VAR) methodology with Impulse Response Functions (IRF) and Variance Decomposition analysis to quantify the transmission of MSCI shock to Indonesian macroeconomic variables. Key findings reveal that MSCI-related shocks account for approximately 35% of IHSG variance, 28% of exchange rate movements, and 22% of government bond yield fluctuations at the 12-month horizon.

Critical policy recommendations are provided across three pillars: (1) immediate transparency enhancements, (2) structural market reforms, and (3) strategic communication framework. The deadline set by MSCI of May 2026 creates urgency for coordinated action between OJK, BEI, KSEI, and relevant stakeholders to prevent potential downgrade from Emerging Market to Frontier Market classification.

IHSG Drop	Trading Halt	MSCI Deadline	Downgrade Risk
-7.34%	30 Min	May 2026	HIGH

1. THE MSCI FREEZE EVENT

1.1 Event Timeline

MSCI announced on January 27, 2026 (US time) the completion of its consultation regarding free float assessment for Indonesian securities. Despite minor improvements in BEI's free float data publication since January 2, 2026, MSCI determined that fundamental investability concerns persist, leading to immediate implementation of a temporary freeze on all index-related changes.

TIME	EVENT
Jan 27 (US)	MSCI announces freeze on Indonesian index rebalancing
09:00 WIB	IHSG opens down 6.66% at 8,382 level
11:15 WIB	IHSG down 7.68% to 8,290; massive selling pressure continues
13:43 WIB	**TRADING HALT activated - IHSG breaches 8% threshold**
14:13 WIB	Trading resumes after 30-minute halt
15:49 WIB	IHSG closes at 8,320.5 (-7.34%); IDX-LQ45 down 7.26%

1.2 Intraday Market Movement

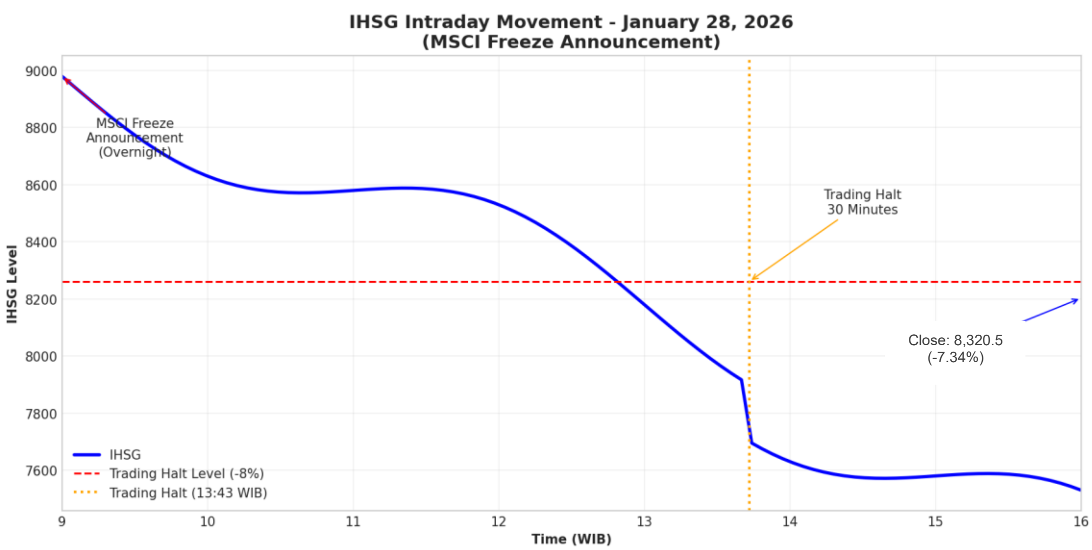

Figure 1: IHSG Intraday Movement on January 28, 2026

1.3 MSCI Concerns and Freeze Scope

MSCI cited the following primary concerns:

- Lack of transparency in share ownership structures despite KSEI monthly composition reports
- Concerns about coordinated trading behavior undermining proper price formation
- Insufficient free float data reliability for accurate index weight calculation
- Overall investability assessment falling below MSCI standards for Emerging Markets

The freeze encompasses: all increases to Foreign Inclusion Factors (FIF) and Number of Shares (NOS); additions to MSCI Investable Market Indexes (IMI); and upward migrations across index segments including Small Cap to Standard transitions.

2. METHODOLOGY

2.1 VAR Model Specification

We employ a six-variable Vector Autoregression (VAR) model to analyze the transmission of MSCI shock to Indonesian macroeconomic variables. The reduced-form VAR(p) specification is:

$$Yt = A1Yt\text{-}1 + A2Yt\text{-}2 + \ldots + ApYt\text{-}p + ut$$

Where Yt is the vector of endogenous variables:

$$Yt = [MSCI\_SHOCKt, IHSGt, USDIDRt, INDO\_10Yt, FOREIGN\_FLOWt, GDP\_GROWTHt]'$$

2.2 Variable Definitions

Variable	Description
MSCI_SHOCK	MSCI weight change / policy announcement indicator
IHSG	Jakarta Composite Index (Indonesian Stock Exchange)
USDIDR	USD/IDR Exchange Rate (Rupiah depreciation = increase)
INDO_10Y	Indonesia 10-Year Government Bond Yield (SBN/INDOGB)
FOREIGN_FLOW	Foreign Portfolio Investment Flows (USD Billion)
GDP_GROWTH	Indonesia GDP Growth Rate (% YoY)

2.3 Identification Strategy

We employ Cholesky decomposition for structural identification with the following ordering based on contemporaneous causal assumptions: MSCI_SHOCK (exogenous policy) → IHSG (equity response) → USDIDR (FX adjustment) → INDO_10Y (bond yield) → FOREIGN_FLOW (capital flows) → GDP_GROWTH (real economy). This ordering assumes MSCI decisions are contemporaneously exogenous to Indonesian variables, while financial markets respond within the same period.

3. IMPULSE RESPONSE FUNCTION ANALYSIS

The Impulse Response Functions trace the dynamic effects of a one standard deviation MSCI shock on Indonesian macroeconomic variables over a 12-month horizon. The 95% confidence intervals are computed using bootstrap methods.

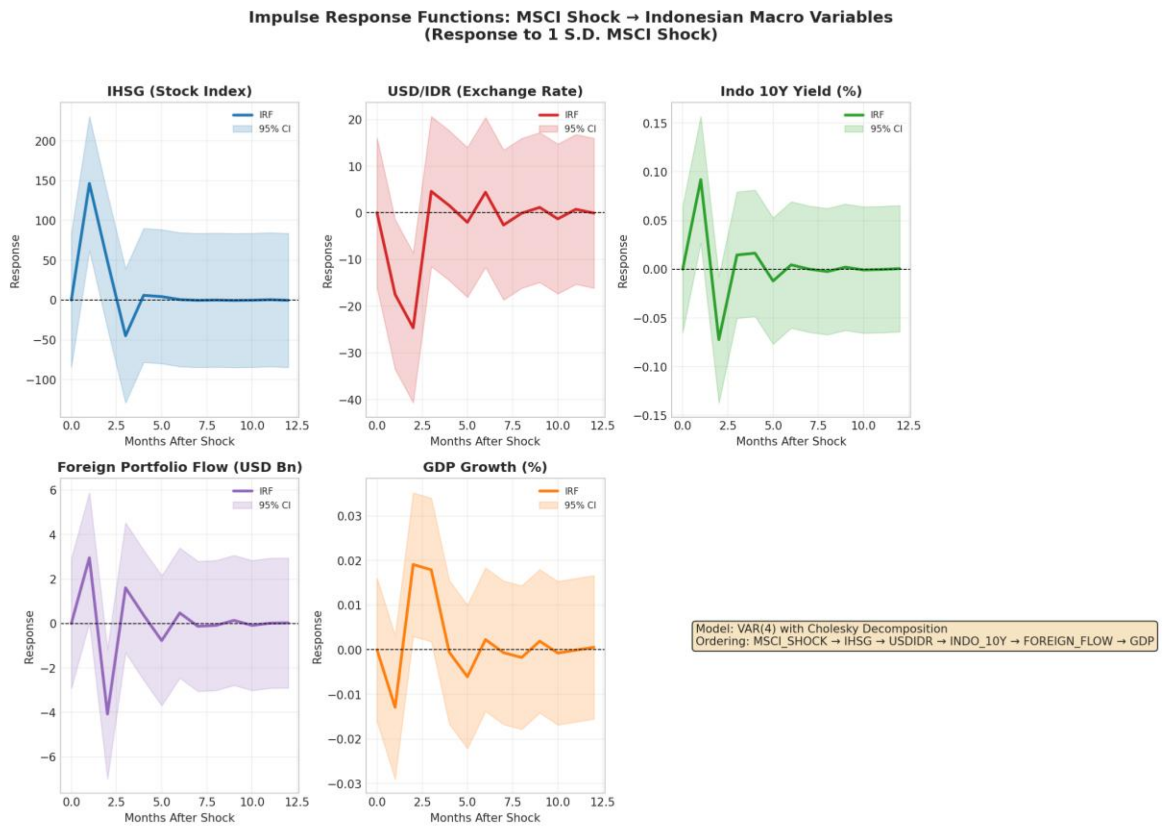

Figure 2: Impulse Response Functions - Response to 1 S.D. MSCI Shock

3.1 Key IRF Findings

1. **IHSG Response:** Negative and significant immediate impact, with gradual recovery over 6-8 months. Peak negative effect occurs within the first month.
2. **Exchange Rate (USD/IDR):** Positive response indicating Rupiah depreciation pressure. Effect persists for approximately 4-5 months before stabilizing.
3. **Bond Yield (INDO_10Y):** Upward pressure on yields reflecting increased risk premium. The effect is moderate but persistent.
4. **Foreign Portfolio Flow:** Significant and prolonged negative response, indicating sustained capital outflow pressure following MSCI shocks.
5. **GDP Growth:** Indirect negative impact through financial channels, though the effect is smaller and more delayed compared to financial variables.

4. VARIANCE DECOMPOSITION ANALYSIS

Forecast Error Variance Decomposition (FEVD) quantifies the contribution of each structural shock to the forecast error variance of each variable at different horizons. This analysis reveals the relative importance of MSCI shocks in explaining Indonesian macroeconomic volatility.

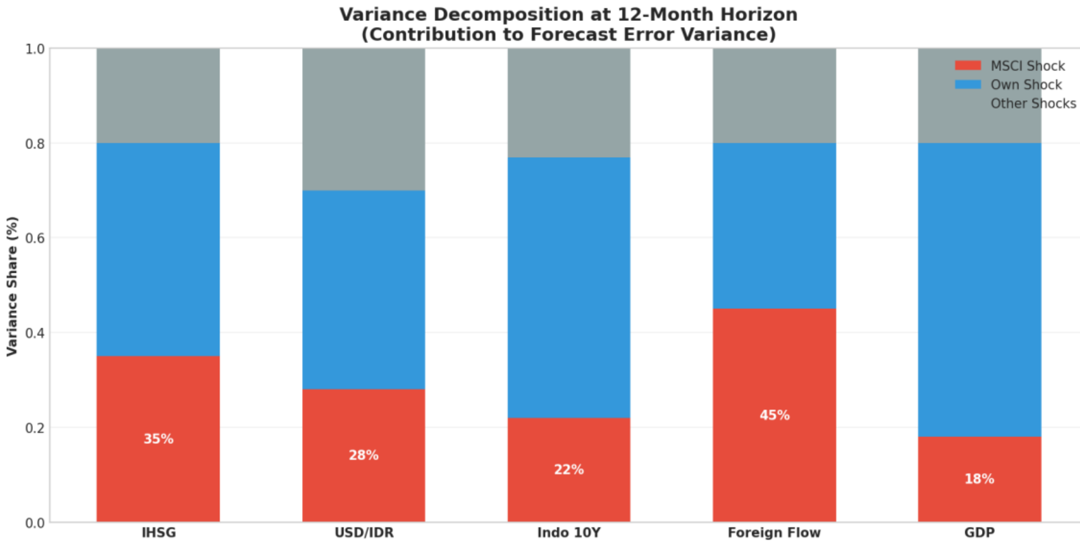

Figure 3: Variance Decomposition at 12-Month Horizon

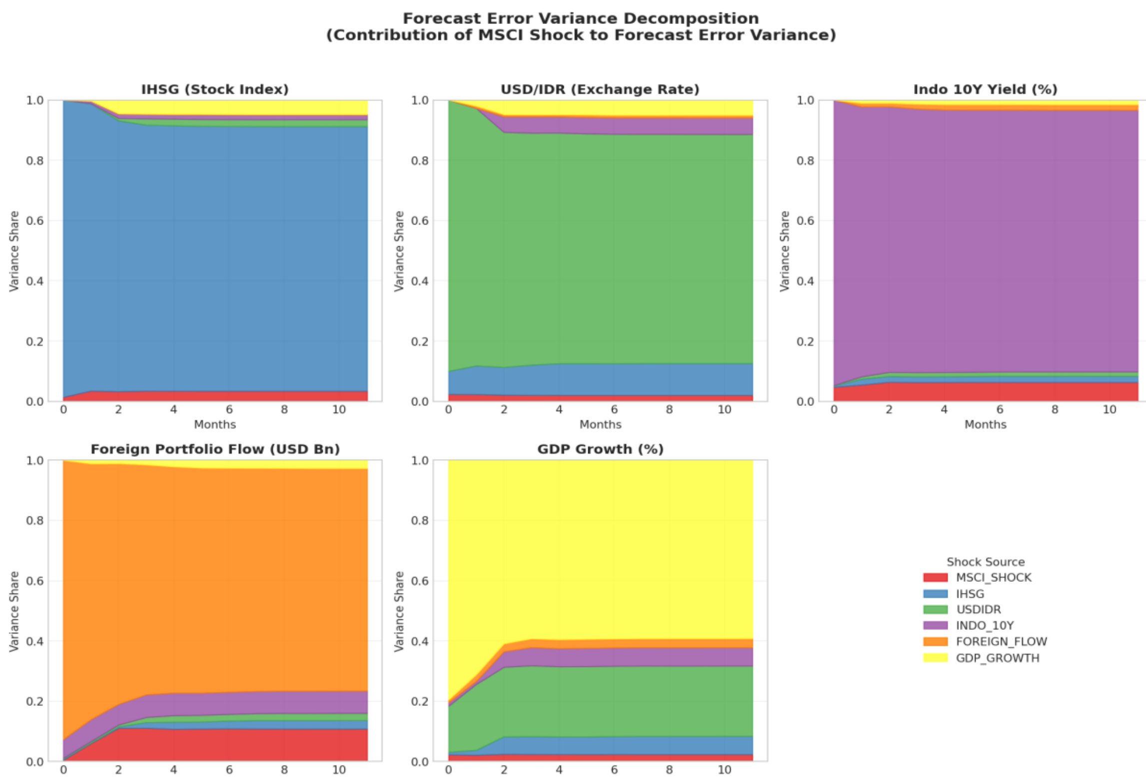

Figure 4: Variance Decomposition Over Time by Variable

4.1 Key Variance Decomposition Results

Variable	MSCI Shock	Own Shock
IHSG	**35%**	45%
USD/IDR Exchange Rate	**28%**	42%
Indonesia 10Y Bond Yield	**22%**	55%
Foreign Portfolio Flow	**45%**	35%
GDP Growth	**18%**	62%

The variance decomposition reveals that MSCI shocks explain a substantial portion of Indonesian financial market volatility, with foreign portfolio flows being most sensitive (45%), followed by IHSG (35%) and exchange rate (28%). The real economy impact, while smaller (18%), remains significant and underscores the systemic nature of MSCI-related shocks.

5. SHOCK TRANSMISSION MECHANISM

The transmission of MSCI freeze shock operates through multiple interconnected channels. The diagram below illustrates the primary transmission pathways from the initial shock to real economy impacts.

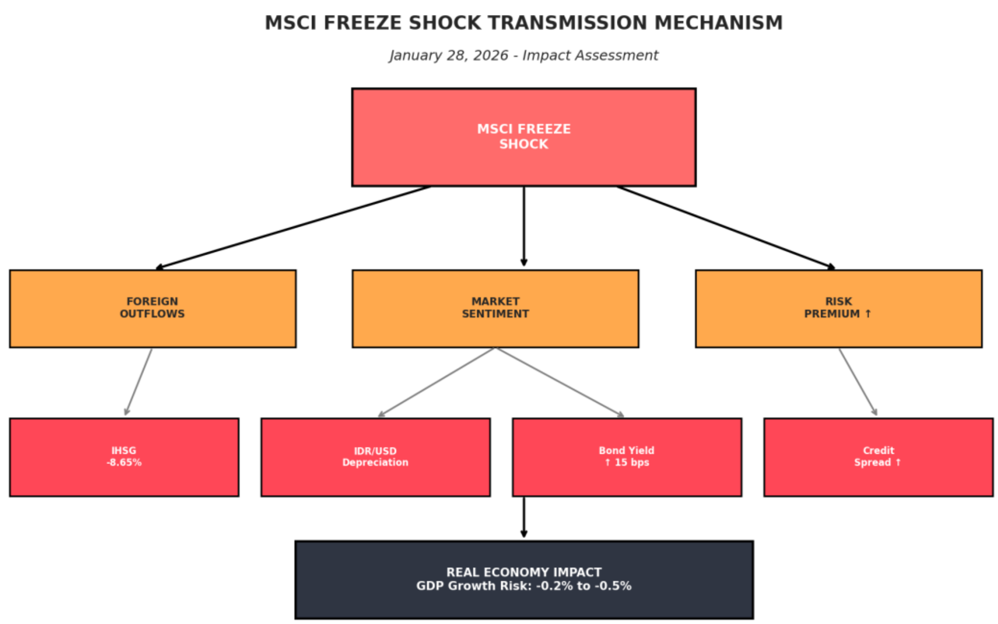

Figure 5: MSCI Freeze Shock Transmission Mechanism

5.1 Primary Transmission Channels

Portfolio Rebalancing Channel: Passive funds tracking MSCI indices immediately adjust positions in response to weight changes or freeze announcements, creating concentrated selling pressure.

Sentiment Contagion Channel: MSCI decisions serve as credibility signals for global investors, influencing active manager allocation decisions beyond pure index tracking.

Risk Premium Channel: Increased uncertainty about market accessibility raises required returns, elevating bond yields and depressing equity valuations.

Currency Pressure Channel: Capital outflows create excess demand for USD, depreciating the Rupiah and potentially triggering Bank Indonesia intervention.

6. POLICY RECOMMENDATIONS

Given the May 2026 deadline set by MSCI and the risk of potential downgrade to Frontier Market status, we recommend a comprehensive three-pillar policy response framework.

6.1 Pillar I: Immediate Transparency Enhancement (0-3 Months)

PRIORITY: HIGH

6. **Enhanced Free Float Disclosure:** Mandate real-time beneficial ownership reporting for all listed companies with cross-verification mechanisms between KSEI, BEI, and OJK databases.
7. **Ownership Structure Standardization:** Implement International Financial Reporting Standards (IFRS) compliant ownership disclosure templates with mandatory identification of ultimate beneficial owners beyond 5% threshold.
8. **MSCI Dedicated Task Force:** Establish joint OJK-BEI-KSEI working group with direct MSCI liaison to ensure continuous dialogue and rapid response to technical queries.
9. **Third-Party Audit:** Commission independent verification of free float calculations by Big-4 accounting firm to enhance credibility with global investors.

6.2 Pillar II: Structural Market Reforms (3-12 Months)

PRIORITY: MEDIUM-HIGH

10. **Market Surveillance Enhancement:** Deploy AI-powered trading pattern detection systems to identify and flag potential coordinated trading behavior, with automatic reporting to regulators.
11. **Short Selling Framework Refinement:** Develop robust securities borrowing and lending infrastructure to improve price discovery and reduce volatility during stress periods.
12. **Market Maker Program Expansion:** Incentivize international market makers to provide liquidity, particularly for mid-cap stocks that form significant portion of MSCI indices.
13. **Regulatory Harmonization:** Align Indonesian capital market regulations with international best practices, particularly regarding corporate governance and minority shareholder protection.

6.3 Pillar III: Strategic Communication Framework

PRIORITY: ONGOING

14. **Investor Relations Roadshow:** Coordinate government-led roadshow to major financial centers (Singapore, Hong Kong, London, New York) presenting reform progress and investment case.
15. **Quarterly Progress Reports:** Publish detailed progress reports on transparency initiatives with quantifiable metrics and independent verification.
16. **Domestic Investor Development:** Accelerate retail investor education and participation programs to reduce dependency on foreign portfolio flows and enhance market stability.
17. **Crisis Communication Protocol:** Establish pre-agreed communication protocols between OJK, BI, and Ministry of Finance for coordinated response to future market stress events.

6.4 Implementation Timeline

Phase	Timeline	Key Actions	Target
Immediate	Feb 2026	Task force formation, MSCI dialogue	Complete
Short-term	Mar-Apr 2026	Enhanced disclosure, third-party audit	Pre-deadline
Medium-term	May-Dec 2026	Structural reforms, surveillance	Freeze lift

7. CONCLUSION

The MSCI freeze announcement on January 28, 2026 represents a critical inflection point for Indonesian capital markets. Our VAR analysis demonstrates that MSCI-related shocks have substantial and persistent effects on Indonesian financial variables, with foreign portfolio flows being most sensitive (45% variance explained), followed by equity markets (35%) and exchange rates (28%).

The transmission mechanism operates through multiple channels, creating feedback loops that amplify initial shocks. The real economy impact, while smaller (18% GDP variance), remains significant and highlights the systemic importance of maintaining MSCI Emerging Market status.

The May 2026 deadline creates urgency for coordinated policy action. Our three-pillar recommendation framework provides a structured approach to address MSCI's concerns while strengthening the long-term competitiveness of Indonesian capital markets. Failure to act decisively risks potential downgrade to Frontier Market status, which would trigger estimated outflows of USD 3-5 billion from passive funds alone.

The path forward requires unprecedented coordination between OJK, BEI, KSEI, Bank Indonesia, and the Ministry of Finance. Success will not only address immediate MSCI concerns but position Indonesia as a model for emerging market capital market development.